Weekly Economic & Financial Commentary

Weekly

Summary

United States: **The Labor Market Is Not Out of the Woods**

- Job openings in December slipped roughly 10% year-over-year to their lowest level since September 2020. While business activity picked up in the services and manufacturing sectors, so did price pressures.
- Next week: Retail Sales (Tue.), Employment (Wed.), Existing Home Sales (Thu.), CPI (Fri.)

International: **Central Banks Still in the Spotlight**

- It was a busy week for foreign central bank announcements, though the only policy move came from Australia, where the RBA delivered a rate hike. The Bank of England, the European Central Bank and Banxico all held rates steady. Outside of central bank developments, Canada's latest labor market data offered a mixed picture.
- Next week: Japan Labor Cash Earnings (Mon.), U.K. GDP (Thu.)

Topic of the Week: **New Year, New Tariffs: January Tariff Developments**

- Trade policy dominated headlines again during the first month of 2026. But despite escalatory rhetoric, the U.S. average tariff rate actually nudged down modestly.

Wells Fargo U.S. Economic Forecast

	Actual			Forecast					Actual	Forecast		
	2025				2026				2024	2025	2026	2027
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q				
Real Gross Domestic Product (a)	-0.6	3.8	4.4	2.0	3.3	1.6	2.1	2.3	2.8	2.2	2.7	2.3
Personal Consumption	0.6	2.5	3.5	2.2	1.9	2.3	2.3	2.2	2.9	2.6	2.3	2.1
Consumer Price Index (b)	2.7	2.5	2.9	2.7	2.4	2.7	2.5	2.5	3.0	2.7	2.6	2.3
"Core" Consumer Price Index	3.1	2.8	3.1	2.7	2.5	2.7	2.5	2.6	3.4	2.9	2.6	2.3
Quarter-End Interest Rates (c)												
Federal Funds Target Rate (d)	4.50	4.50	4.25	3.75	3.50	3.25	3.25	3.25	5.27	4.33	3.31	3.25
Conventional Mortgage Rate	6.65	6.82	6.35	6.20	6.10	6.15	6.15	6.15	6.72	6.60	6.14	6.19
10 Year Note	4.23	4.24	4.16	4.18	4.26	4.15	4.20	4.25	4.21	4.29	4.22	4.29

Forecast as of: January 14, 2026
Notes: (a) Compound Annual Growth Rate Quarter-over-Quarter
(b) Year-over-Year Percentage Change
(c) Quarterly Data - Period End; Annual Data - Annual Averages
(d) Upper Bound of the Federal Funds Target Range

Source: U.S. Dept. of Commerce, U.S. Dept. of Labor, Federal Reserve Board and Wells Fargo Economics

U.S. Review

The Labor Market Is Not Out of the Woods

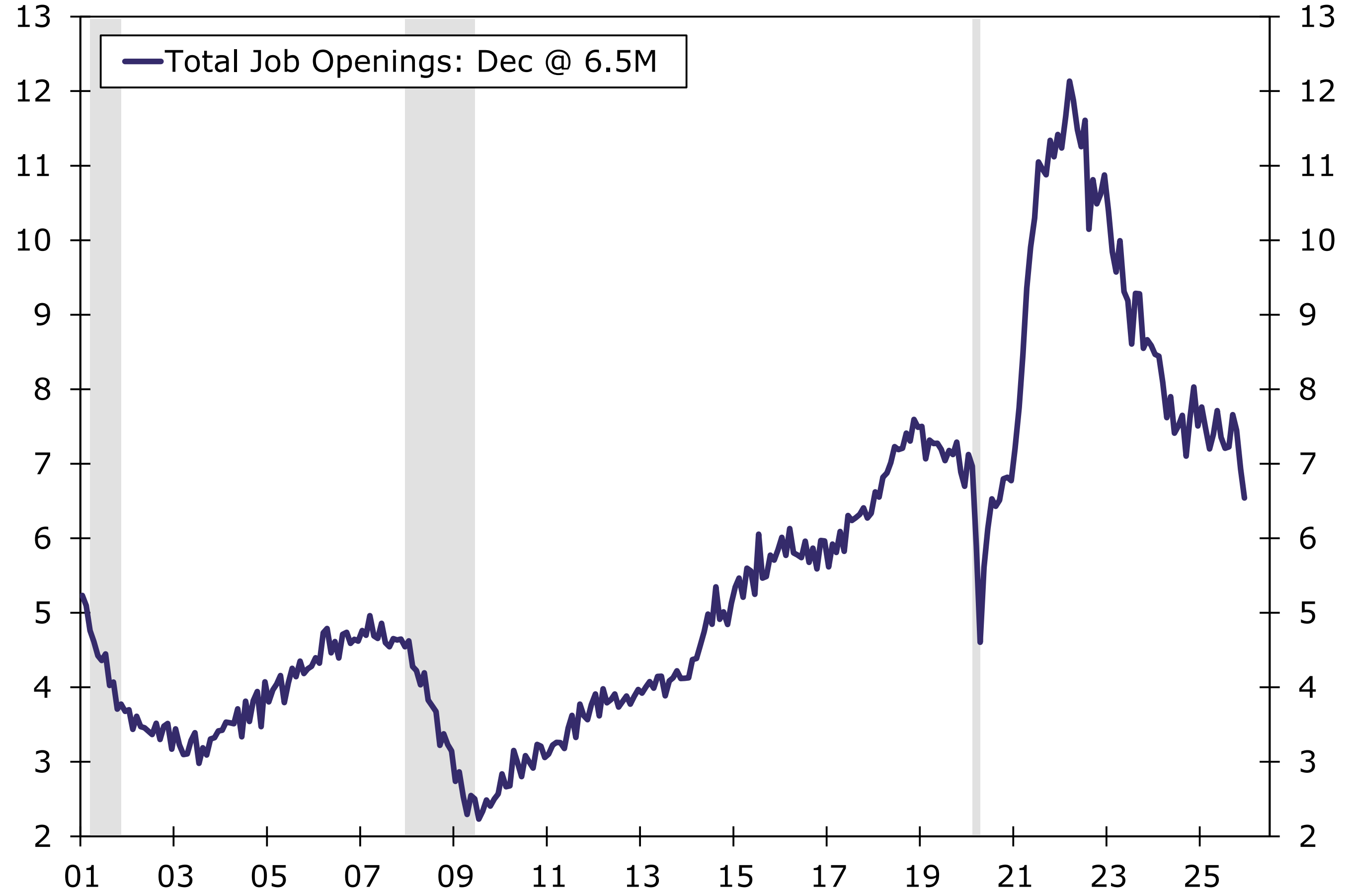
Even a four-day government shutdown has its costs. January's payroll report was originally scheduled for release this morning, but the partial shutdown pushed it to next Wednesday, Feb. 11. It was a fairly light data week otherwise.

JOLTS revealed a substantial slip in job openings, underscoring that the labor market is still on shaky ground. The 6.5 million openings at the end of December were down roughly 10% year-over-year and at their lowest level since September 2020. We caution that JOLTS data are fairly volatile and subject to revisions. However, this print echoed the ongoing slide in new Indeed job openings, suggesting firms are hesitant to take on too many new workers.

Having already dialed back new hires and with voluntary departures muted, cost-cutting firms may resort to layoffs to reduce headcount. Traditional data sources continue to suggest a low-hire, low-fire environment. These include the JOLTS layoff rate, which remains low at 1.1%, and smoothed initial jobless claims, which are down 2.5% from last year. But we cannot ignore the recent spike in Challenger layoff announcements. While mass layoffs are not our base case, it is not out of the realm of possibility that claims may have some room to rise alongside deteriorating labor demand.

Job Openings

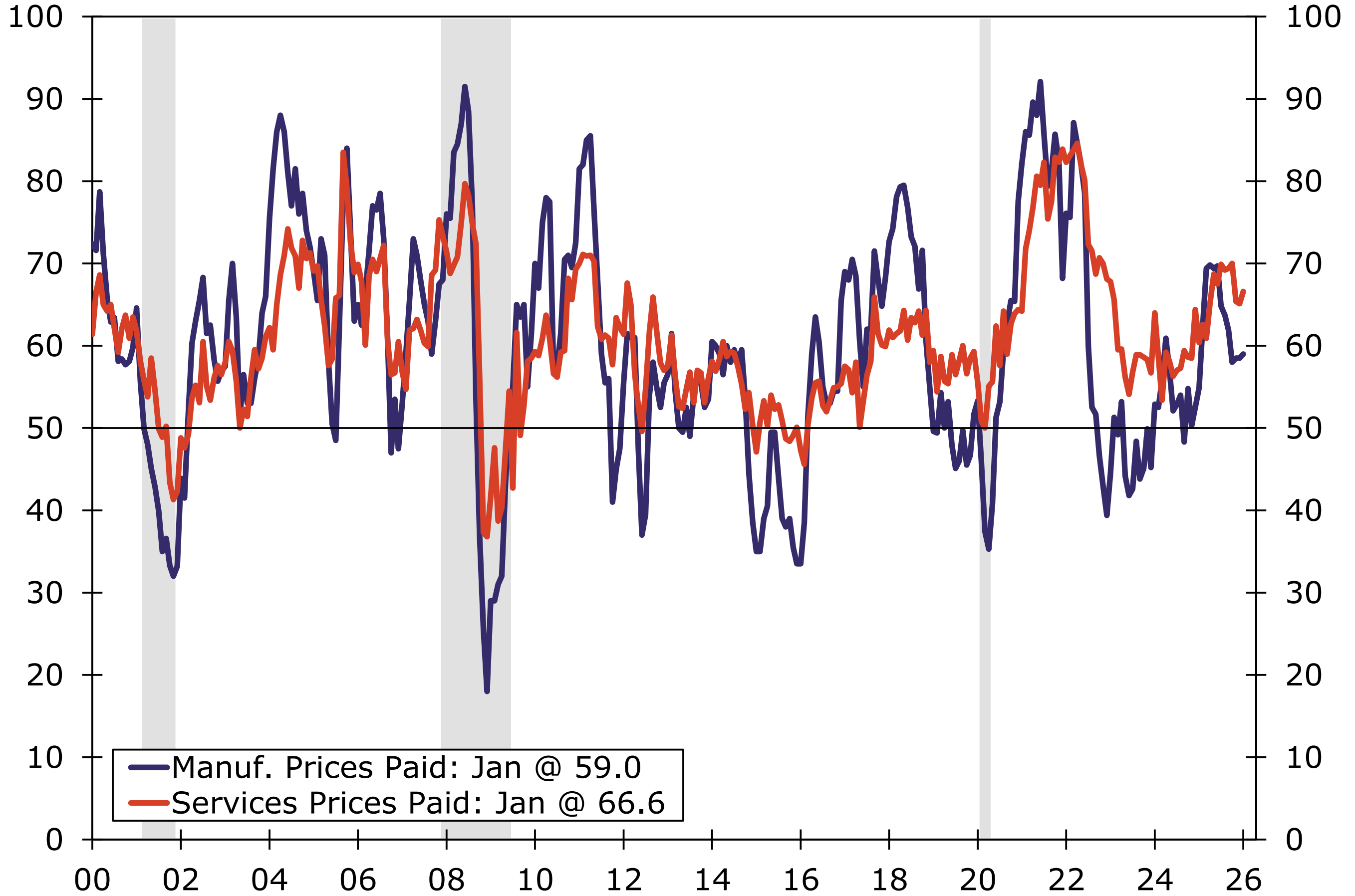
Millions of Openings, Seasonally Adjusted



Source: U.S. Department of Labor and Wells Fargo Economics

ISM Manuf. and Services Prices Paid

Diffusion Index



Source: Institute for Supply Management and Wells Fargo Economics

Some have been quick to link labor market troubles to AI. While AI may be causing firms to think twice about expanding payrolls, other factors like higher costs and elevated interest rates may also be dampening hiring. However, the adoption of AI does appear to be bolstering business activity. Steady demand for services kept the ISM Services Index unchanged at 53.8 in January, matching December's 14-month high. Rapid growth opportunities associated with AI and data centers were key topics cited by firms in the construction and utilities sectors. Elsewhere, new orders remained healthy and the business activity index rose to its highest reading since October 2024.

The ISM Manufacturing Index was a bit more eye-catching. After spending the better part of three years in contraction, the headline shot up 4.7 points to 52.6, its highest level since August 2022. We've noted that interest rate reductions are likely to encourage an expansion in capital expenditures, ultimately aiding the manufacturing sector. However, January's turnaround may have been driven by restocking rather than a sustained uptick in demand. Firms cited "post-holiday replenishment and customers' desire to get ahead of additional tariff-driven price increases" as reasons for the increase in new orders. At the same time, industry comments were riddled with ongoing concern over potential new tariffs, higher costs and increased global uncertainty.

The ISM surveys also highlighted ongoing stubbornness in inflation. The prices paid indices for both indices remained elevated in January, modestly rising over the month prior. As firms receive little relief on the inflation front, the two sides of the Fed's dual mandate appear stuck in tension.

(Return to Summary)

U.S. Outlook

Weekly Domestic Indicator Forecasts

Date	Indicator	Period	Consensus	Wells Fargo	Prior
10-Feb	ECI (QoQ)	Q4	0.8%	0.9%	0.8%
10-Feb	Retail Sales (MoM)	Dec	0.4%	0.4%	0.6%
10-Feb	Retail Sales ex Auto (MoM)	Dec	0.4%	0.3%	0.5%
10-Feb	Business Inventories (MoM)	Nov	0.2%	0.2%	0.3%
11-Feb	Nonfarm Payrolls	Jan	70K	80K	50K
11-Feb	Unemployment Rate	Jan	4.4%	4.4%	4.4%
11-Feb	AHE (MoM)	Jan	0.3%	0.3%	0.3%
12-Feb	Existing Home Sales (SAAR)	Jan	4.21M	4.15M	4.35M
13-Feb	CPI (MoM)	Jan	0.3%	0.3%	0.3%
13-Feb	CPI (YoY)	Jan	2.5%	2.4%	2.7%
13-Feb	Core CPI (MoM)	Jan	0.3%	0.3%	0.2%
13-Feb	Core CPI (YoY)	Jan	2.5%	2.5%	2.6%
13-Feb	CPI Index NSA	Jan	325.581	325.408	324.054

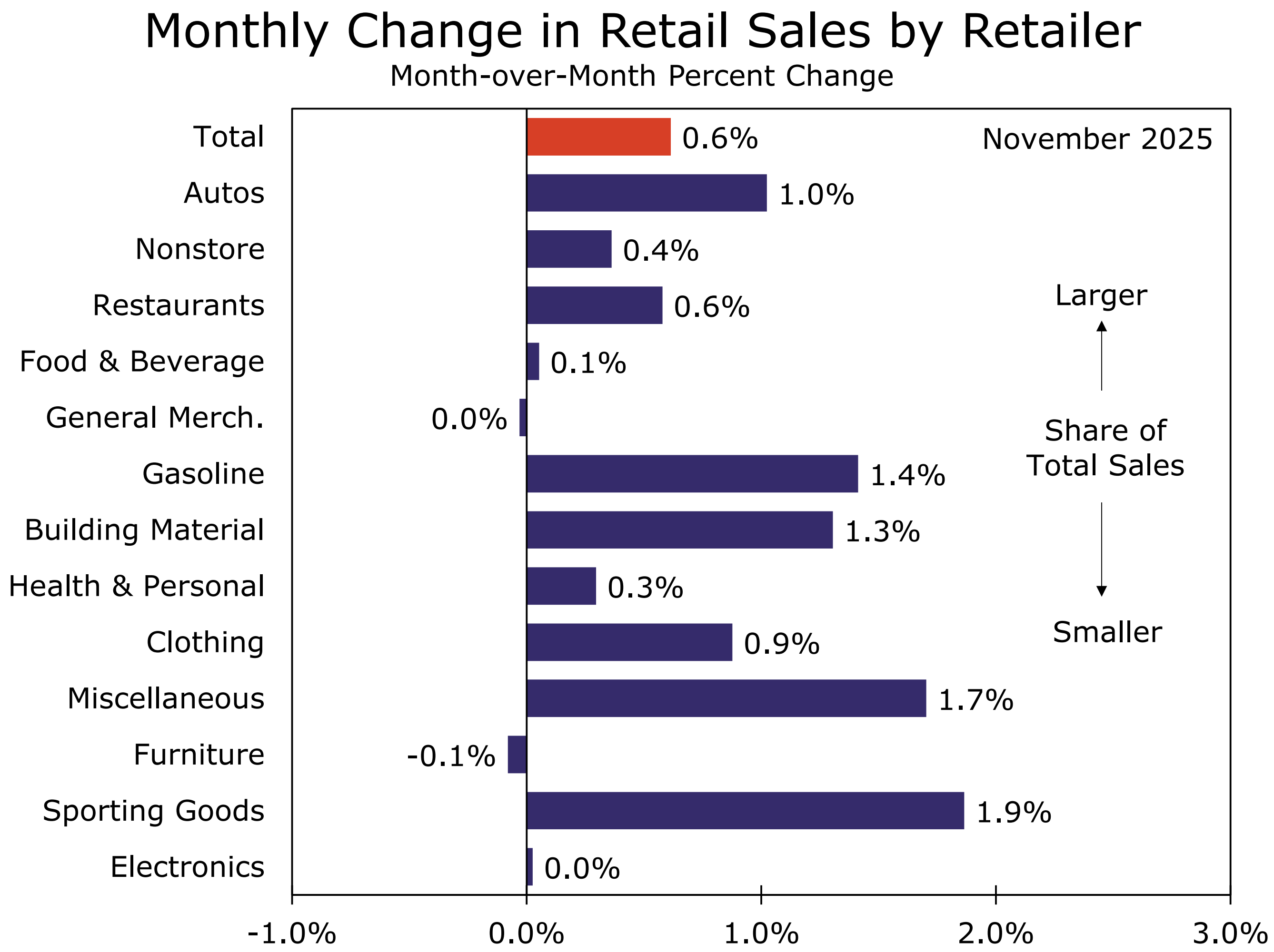
Forecast as of February 06, 2026

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Retail Sales • Tuesday

Retail sales came in strong in November, rising 0.6% over the month after a negative reading in October. A rebound in auto sales helped, but not as much as expected, with ex-autos and the control group rising 0.5% and 0.4%, respectively. The November data point to firm underlying consumer momentum in Q4, with broad-based strength spanning across multiple categories.

That said, high-frequency spending data suggest a slow pace of spending in December. This isn't too surprising to us, as we've anticipated a weak end to the year and factored that into our holiday sales forecast. A cooling labor market has many households concerned about steady income prospects, while persistent price pressure has driven affordability challenges that are pressuring discretionary purchases. As a result, we look for retail sales to grow at a cooler pace of 0.4% over the month. That said, while December has the potential to be soft, more favorable household tax policy should provide some reprieve to households this year and offer a tailwind to spending.

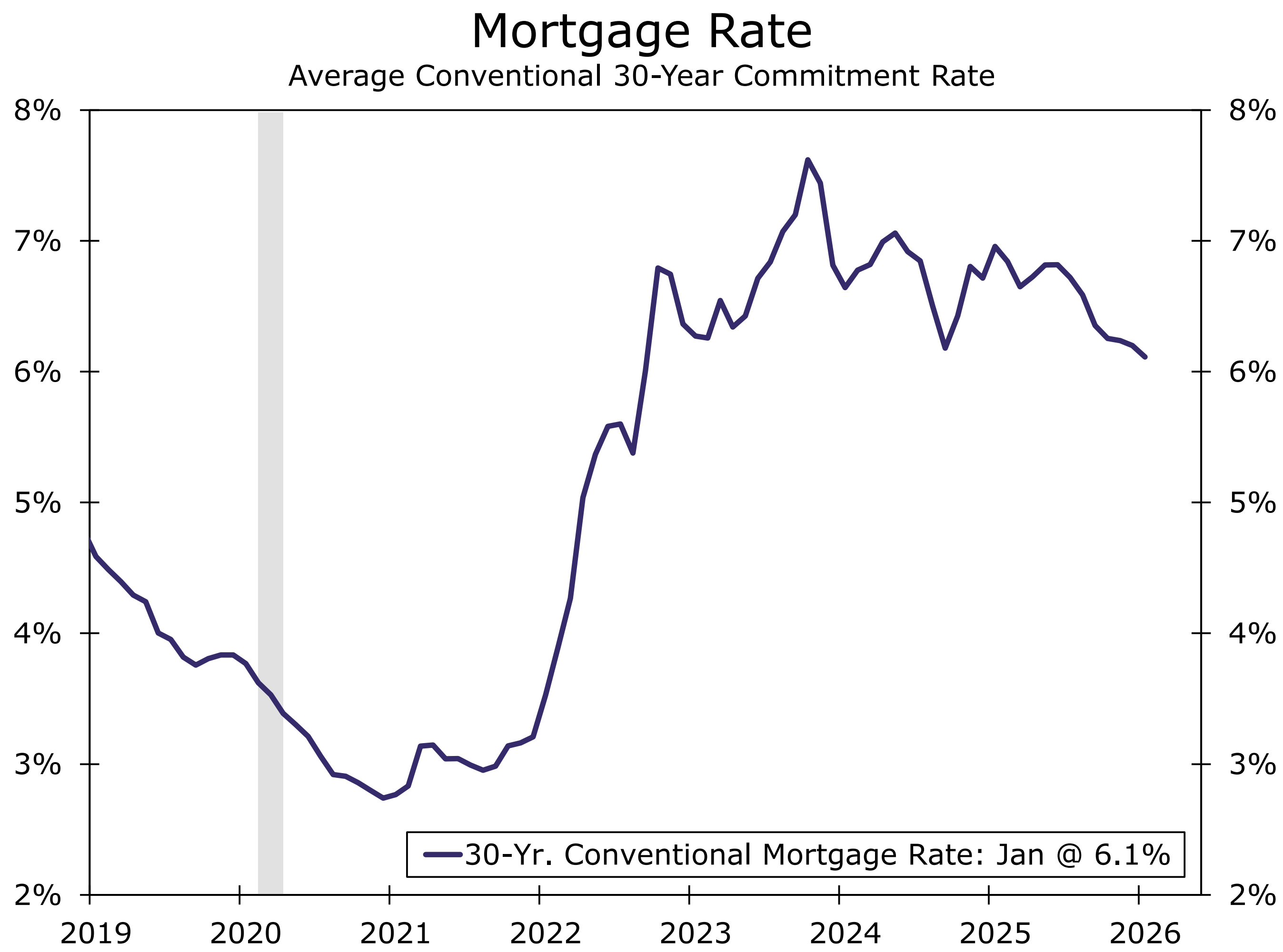


Source: U.S. Department of Commerce and Wells Fargo Economics

Existing Home Sales • Thursday

Existing home sales jumped 5.1% to a 4.35 million unit pace in December, the fourth consecutive monthly gain. The higher trend in resales has been driven by slightly lower mortgage rates, improved supply and softer price appreciation. Single-family homes registered a 0.2% annual price increase in December, the weakest pace since the first half of 2023.

The Freddie Mac 30-year fixed mortgage rate hovered between 6.2% and 6.3% in October and November, down from 6.8% midyear. Slightly lower mortgage rates should support an ongoing stabilization in buyer activity, but our expectation for mortgage rates to remain slightly above 6% in 2026 means challenging affordability will remain a constraint on transactions in the month ahead. As a result, we look for existing home sales to fall 4.6% to a 4.15 million-unit pace in January.



Source: Freddie Mac and Wells Fargo Economics

CPI • Friday

The January CPI report should provide a cleaner read on inflation as shutdown-related distortions fade. Updated seasonal factors will be incorporated with this release and leave the past five years' data subject to revision. We expect the new seasonal factors to continue to struggle to account for early-year price hikes.

We expect the core index to increase 0.33% over the month, compared to an average increase of 0.22% during the prior 12 months. While residual seasonality may explain part of the strength, delayed pass-through of tariff costs, businesses restocking inventory and companies testing pricing power also reflect the expected rise. We look for core goods to rise 0.33% over the month, underpinned by broader strength in used vehicles. Core services are also expected to rise by 0.33%, with strength in "other" services tempered by outright declines in health and motor vehicle insurance.

Headline CPI should increase a softer 0.25%, reflecting weaker food inflation and lower gas prices, though energy services will likely continue climbing. The softer monthly increase in headline inflation should pull the year-over-year rate to 2.4%. Core inflation should also edge down on a year-over-year basis, landing at nearly a five-year low of 2.5%.

Source: U.S. Department of Labor and Wells Fargo Economics

Employment • Wednesday

The employment report—originally due last Friday—will be published on Feb. 11 due to the brief government shutdown this week. We look for payrolls to rise 80K in January and for the unemployment rate to hold steady at 4.4%. For more information, please see our employment preview note. (Return to Summary)

International Review

Central Banks Still in the Spotlight

Among this week's major central bank announcements, only the Reserve Bank of Australia (RBA) delivered a policy change, raising its Cash Rate by 25 bps to 3.85%. While this move was not part of our monthly forecast, we did note in last week's International Outlook section that our views were shifting after Q4 and December inflation came in above consensus. In explaining its decision, the board emphasized that inflation had "picked up materially in the second half of 2025" amid "greater momentum in demand" and that inflation is likely to remain above target for some time. The overall statement leaned hawkish, though Governor Michele Bullock characterized the hike as an "adjustment," not the start of a new tightening cycle. The announcement was accompanied by updated projections in the Statement of Monetary Policy, which now show headline inflation peaking at 4.2% year-over-year in Q2-2026 (previously 3.7%) and trimmed-mean inflation peaking at 3.7% (previously 3.2%). Growth is expected to reach 2.1% by Q2-2026, higher than the November forecast, before slowing to 1.6% in 2027. The unemployment rate is projected to remain lower through end-2026 before rising in 2027–2028. The RBA also revised its Cash Rate outlook, now seeing rates rising to 4.2% by year-end, an upward shift from November's forecast that had anticipated cuts bringing the rate down to 3.3%. We are not yet convinced that this latest move marks the beginning of a sustained hiking cycle, but we will update our views in the upcoming international monthly report.

In other advanced economy central bank decisions this week, the Bank of England (BoE) left its policy rate unchanged at 3.75%. Five policymakers voted to hold, while four favored a 25 bps cut, a larger dovish split than markets had anticipated. The overall communication leaned dovish as well, with officials highlighting that disinflation is progressing "ahead of schedule" relative to the November projections. While inflation remains above the 2% target today, the BoE now expects CPI to fall back to around target starting in April. The updated economic forecasts painted a softer macro backdrop than in November. The BoE now projects lower growth, lower inflation and higher unemployment over the forecast horizon. The most notable revisions were to CPI inflation, which is now expected to average 2.0% in 2026, 1.8% in 2027 and 2.0% in 2028—down from 2.5%, 2.0%, and 2.1%, respectively. GDP growth forecasts for 2026 and 2027 were revised down to 0.9% and 1.5%, respectively, while the 2028 forecast was nudged up slightly to 1.9%. The unemployment rate is now projected to peak at 5.3%, compared with 5.1% previously. Our current forecast looks for two 25 bps rate cuts at the March and June meetings, and we think the risks are skewed toward back-to-back cuts at the March and April meetings. If realized, this would put the terminal Bank rate at 3.25%.

The European Central Bank (ECB) also kept the Deposit Rate unchanged at 2.00%, maintaining its "data-dependent" and "meeting-by-meeting" approach. During the press conference, President Lagarde reiterated that the ECB is in a "good place," noting that inflationary pressures remain broadly consistent with the 2% target. She also acknowledged, however, that a further appreciation of the euro could push inflation below the desired level. Given the current inflation and growth outlook, we expect the Deposit Rate to remain at 2.00% through 2026. That said, the potential disinflationary effects of euro appreciation tilt the risks modestly to the downside.

In emerging markets, Banxico also held its policy rate steady, and the accompanying statement leaned more hawkish. The decision was unanimous, inflation forecasts were revised significantly higher, and forward guidance suggested less confidence about delivering additional cuts ahead. We continue to expect Banxico to keep its policy rate unchanged at 7.00% through 2026.

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Source: Bloomberg Finance L.P. and Wells Fargo Economics

In news outside of central bank announcements, Canada's December labor market report was mixed. Total employment fell by 24.8K, well below the consensus expectations for a 5K gain and reversing the 8.2K increase recorded in November. However, the weakness was driven entirely by part-time employment, which declined by 69.7K, while full-time jobs actually rose by a solid 44.9K. The unemployment rate fell to 6.5%, significantly below expectations for 6.8%. That said, the drop was largely driven by a contraction in the labor force, rather than an increase in hiring. With respect to the Bank of Canada, the latest data do not materially alter our policy outlook. We continue to expect the central bank to remain on hold through 2026.

(Return to Summary)

International Outlook

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Japan Labor Cash Earnings • Monday

Japan's December labor earnings data, due for release next week,are a key piece in assessing the Bank of Japan's (BoJ) path toward policy normalization. November's labor cash earnings initially printed at 0.5% year-over-year before being revised up to 1.7%, while the BoJ's preferred same-sample measure rose 1.1%. Consensus expectations are for some firming in December, supported by strong winter bonuses, with headline earnings forecast to reach 3.2%.

On the inflation front, the outlook has become somewhat more complicated. Price pressures have continued to trend lower, with both headline and core (ex fresh food) inflation at 2.1% and 2.4% year-over-year, respectively, in December—hovering only slightly above the BoJ's 2% target. Even so, this moderation is unlikely to derail the broader normalization trajectory. The "core-core" measure, which excludes fresh food and energy, edged down from 3.0% to 2.9% but still indicates firm underlying price momentum, helping maintain support for eventual policy tightening. In addition, the weaker yen raises the prospect of renewed import-driven inflation, reinforcing the importance of confirming a sustained pickup in wages. Evidence of firmer earnings growth in the coming months would bolster the case for rate hikes, albeit at a cautious and gradual pace. For now, we maintain our base case for a 25 bps rate increase from the BoJ by Q3-2026, bringing the policy rate to 1.00%.

Source: Bloomberg Finance L.P. and Wells Fargo Economics

U.K. GDP • Thursday

Next week brings the release of the UK's GDP data for both December and the fourth quarter. Consensus expectations point to a 0.1% month-over-month expansion in December. For Q4, economists anticipate growth of 0.2% quarter-over-quarter and 1.2% year-over-year. Following what we viewed as a generally balanced, but modestly dovish-leaning, Bank of England (BoE) decision this week (see International Review for more detail), market attention now turns to whether the central bank could deliver back-to-back rate cuts, potentially starting as early as the March meeting. Inflation has eased considerably, and BoE policymakers now expect price pressures to cool toward the 2% target beginning in April. On the growth side, a downside surprise in next week's GDP data would further reinforce our view that rate cuts are justified. We remain comfortable with our base case for two 25 bps rate cuts this year, with the Bank Rate falling by 50 bps to a terminal level of 3.25% in Q2-2026. We expect cuts to proceed on an every-other-meeting cadence beginning in March.

(Return to Summary)

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Topic of the Week

New Year, New Tariffs: January Tariff Developments

Trade policy dominated headlines again during the first month of 2026. But despite escalatory rhetoric, the U.S. average tariff rate actually nudged down modestly.

The most consequential shift came from the U.S.-India trade agreement announced on Feb. 2. India committed to stop buying Russian oil and reduce its tariff and non-tariff barriers to zero, while the United States lowered its reciprocal tariff on Indian goods from 25% to 18% and eliminated the extra 25% originally imposed in response to purchases of Russian crude. India also pledged to purchase $500 billion of U.S. goods, annually. We estimate the deal lowered the effective tariff rate on India to 17.2% from 34.6%. That reduces annual duties by roughly $15 billion, which is equivalent to 17% of India's $87 billion of exports to the U.S. in 2024.

In an agreement with Taiwan, announced earlier on Jan. 15, the U.S. lowered its reciprocal tariff on Taiwan to 15% and reduced Section 232 duties on cars and car parts to the same 15%. Taiwanese firms committed to at least $250 billion in direct investments and another $250 billion in credit guarantees, both toward expansion of domestic U.S. semiconductor manufacturing. We estimate the effective tariff rate on Taiwan fell to 10.6% from 13.8%.

A separate trade deal with South Korea disintegrated, however, after the U.S. announced that it would raise tariffs on Korean autos, lumber and pharmaceuticals, as well as the reciprocal rate, from 15% to 25%, because the South Korean legislature had not yet approved the original July 2025 agreement. According to our estimate, this increased the effective tariff rate on Korea to 22.0% from 15.8%.

Tariff agreements with India, Taiwan and South Korea collectively lower our estimate of the U.S. average effective tariff rate modestly to 16%. That said, there were a number of repeated threats of new tariffs during the month:

- Canada faces a potential 100% tariff if it pursues a new trade deal allowing imports of Chinese electric vehicles in exchange for purchases of its agricultural products.
- Countries trading with Iran were immediately subjected to a 25% tariff on Jan. 12, though details around implementation remain unclear.
- A Jan. 29 Executive Order introduced a new tariff framework that authorizes additional duties on goods from any country which directly or indirectly provides oil to Cuba; duties will only be imposed after findings by the U.S. Departments of Commerce and State.
- Tariffs related to the U.S. bid to acquire Greenland—originally set to kick in at 10% on Feb. 1—were canceled following productive negotiations on Jan. 21.

As trade flows adjust to changes in duties, the effective U.S. rate is likely to come in even lower than our 16% estimate, which is based off 2024 trade levels. The effective tariff rate was nearly 12% in November 2025, the most recent month for which data are available.

Despite the flurry of actions and announcements, the broader landscape remains more stable than last year. January's developments reflect a global trade environment still susceptible to headline shocks without veering back toward the disruptive tariff escalation of 2025.

(Return to Summary)

Source: U.S. Department of Commerce and Wells Fargo Economics

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All estimates/forecasts are as of 2/6/2026 unless otherwise stated. 2/6/2026 12:37:51 EST. This report is available on Bloomberg WFRE

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